

Azimut Holding AZM IM

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by

Bud_Spencer

			2026	2027
Price:	38.50	EPS	4.4	4.3
Shares Out. (in M):	143	P/E	8.7	9
Market Cap (in \$M):	6,366	P/FCF	0	0
Net Debt (in \$M):	-768	EBIT	702	760
TEV (in \$M):	5,598	TEV/EBIT	6.9	6.4

Description

Summary

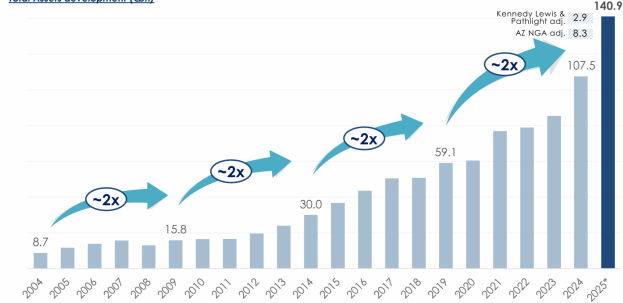
Azimut is Italy's largest independent asset gatherer, trading at roughly 9x 2027 adjusted earnings vs Italian peers trading around 14–20x. Management is returning ~25% of the market cap to shareholders in cash over 18 months: €352m of dividends were paid in May and the first €250m buyback starts this week. The discount is there because of a somewhat messy demerger of half the Italian distribution network into TNB, a new bank co-owned with FSI, which got tangled in a Bank of Italy inspection and a disclosure misstep. Three recent developments de risk the setup: (1) the regulatory remediation passed its follow-up assessment in early July and the process is in its final innings; (2) Azimut announced the acquisition of Yapı Kredi Portföy in Turkey at 7x earnings, which replaces the earnings stream being sold with TNB; and (3) Q2 beat by 5–6% and the FY26 net profit target of €550m was confirmed. At 10x standalone earnings plus the cash returns (and valuing TNB at ~12x), IRR is ~20%; a rerating towards the bottom of the peer range brings IRR to the 30s. Risks are around the TNB deal slippage and Turkey exposure, but seem priced in.

Business

Azimut is Italy's only major independent asset gatherer, not owned by a bank or insurer. It operates a vertically integrated model: it owns an asset manager / product manufacturer (mostly out of Luxembourg) and distributes products through ~1,900 tied financial advisors in Italy, so it keeps the full fee stack rather than sharing retrocessions with a parent (not uncommon in Italian financial advisory). Total client assets reached a record €158bn at June 2026 (+12% vs FY25) with 53% now from international operations across 20 countries (Brazil, Turkey, Egypt, Singapore, UAE, US...). Private markets are 8–9% of AUM vs ~2% industry average (deliberate move the co started some time ago to maintain higher fees).

The business grew rapidly thanks to growth in the distribution network, as number of advisors grew, and M&A:

Total Assets development (€bn)



Azimut's estimate is that they have a 5% share of total advisors in Italy and ~2% of of Italian total AUM, hinting that they still have room to grow. In Italy, households hold ~€6trn of financial assets, historically overweight government bonds, deposits and real estate. Tied-advisor networks keep taking share from banks (16.7% of total financial assets and rising from around 7% in 2013-2013). Fees remain high by European standards (TERs of 1.8–2% on equity/balanced). Listed peers Banca Generali, Fineco, Mediolanum trade at 14–20x 2027 consensus earnings. Azimut trades at ~8x on the same basis, including the acquisition. Even if some complexity/governance discount could remain, this should trade closer to peers.

The latest update, 1H26 was very good: €8.1bn net inflows (81% of the original full-year target in six months, of which €6.8bn organic), revenues +21% YoY to €781m, recurring fees +16%, recurring EBIT +10% to €310m, recurring net profit +6% to €249m.

One word on the shareholders structure: Timone Fiduciaria is the largest shareholder, owning ~21%. It's a vehicle that pools ~2000 financial advisors, employees and managers under a long-term voting and lock-up agreement that auto-renews every three year. The second largest shareholder is Helikon Investments with 5.8%, a London-based hedge fund (with some Italian key people) which had tremendous success recently but managed to stay under the radar.

The TNB situation

Azimut never had a banking license, so unlike every peer it could never capture deposit economics, a revenue pool worth 30–50%+ of the P&L at Banca Generali, Fineco and Mediolanum. So Azimut has agreed to demerge roughly half the Italian distribution network (€28bn of assets, €54m of 2025 net profit) into TNB ("The New Bank"), with FSI and co-investors taking 80.01% and Azimut keeping 19.99%.

The consideration is three-layered with a headline of ~€1.2bn: €240m cash at closing, up to €210m deferred (paid out of TNB dividends or an FSI exit), and up to €764m of earn-outs that trigger on FSI's return on invested capital hitting 2.4x and 3.0x MOIC thresholds. So, Azimut gets paid based on how much money FSI makes on exit. I don't love the structure, it's murky: if FSI holds long and TNB grows modestly, the earn-outs may simply never arrive. My working assumption is the €240m is real, some of the deferred arrives eventually, and the earn-outs are a free option.

What matters more is the distribution agreement: TNB commits to distribute Azimut's product suite for a minimum of 20 years (extendable to 40), with a guarantee that commissions flowing to Azimut are not less than €200m/year over at least 12 years (the "€2.4bn" value management likes to show). There are escape valves: TNB can extend instead of paying a shortfall, and the guarantee flexes down for poor product performance or regulatory fee changes, so treat the floor as soft. Azimut also holds a call option on TNB exercisable from year 7, plus tag/drag protections.

Strategically the deal makes sense: I've read a Third Bridge transcript where an expert (former Azimut FA) estimates 80–90% of existing clients could open TNB accounts, the banking license lowers the entry point to younger clients. I have 20–25% pa customer growth for TNB in the first few years, not far from some sell side models I've seen. Azimut keeps the other half of the Italian network, all international distribution, and the asset management.

Bank of Italy inspection

A routine Bank of Italy inspection of Azimut Capital Management (ACM, the legal perimeter of the assets that will form TNB) found "significant governance and organisational deficiencies" in October 2025: outsourced control functions, board overlaps between Azimut and ACM, weak risk monitoring. Azimut initially communicated this as "areas of improvement" but CONSOB made them publish the regulator's actual language, twice, and the stock fell 15% intraday in November.

The remediation itself, however, has been executed: the plan to remediate (appointing a General Manager at ACM, removing board overlaps, bringing risk/compliance/ audit in-house and tightening risk monitoring, performance attribution and separating between pooled funds and discretionary mandates) was submitted in November 2025, and implemented by the 30 April 2026 deadline, internal audit verification completed, and the Bank of Italy's follow-up assessment was completed in early July 2026. Azimut is now awaiting the official report, which is the prerequisite for the final transaction approvals from the ECB, Bank of Italy and CONSOB. The framework agreement with FSI has been extended to 20 December 2026, and management reiterated on the July 30 call that they are "fully confident" of completion by year-end. Two years after the first announcement of the TNB deal, this timeline has slipped repeatedly, but the remaining steps are mostly formalities. TNB perimeter in the meantime keeps growing: ~€30m net profit at end-June 2026.

Yapi Kredi Portföy acquisition

On 29 July Azimut announced its largest deal ever: 100% of Yapı Kredi Portföy Yönetimi (YKP), Turkey's fifth-largest asset manager (~€23bn AUM), for ~€305m (~7x 2026E earnings), plus a maximum €20m earnout over 5y that only triggers on ~75% cumulative AUM growth. Combined with Azimut's existing (and profitable) Turkish business, this creates a €29bn platform, the #2 asset manager in the country and the #1 private one. The core of the deal is a 15-year exclusive distribution agreement with Yapı Kredi Bank: 730+ branches, 18m clients, with baseline margin protections and AUM thresholds under which the bank compensates Azimut via lower retrocessions.

In terms of numbers YKP+Azimut Turkey is expected to generate €65–75m of pro-forma 2026E net income and ~10% average EPS accretion over 2027–29, *including* debt financing costs (~2.5–3%) and excluding synergies. Pro-forma gross debt stays below 1x EBITDA. YKP's management fee margin of 1.1–1.2% sits below Azimut Portföy's 1.4%, so there is a credible 10–20% top-line upside from mix shift toward DPM and alternatives, a strategy Azimut has already run in Turkey (its own Turkish unit grew net profit 22x since 2019).

In AUM and net profit terms, YKP is almost exactly the size of what Azimut is losing through TNB i.e. the deal *more than* offsets the TNB profit impact. Clearly one is in Italy and the other in Turkey (macro/country risk) but fund revenues are naturally hedged (local returns start from a 40%+ risk-free rate), ~45% of YKP assets are hard-currency instruments, Turkey's CDS has tightened from 911bps to 235bps, all three agencies have upgraded, and hyperinflation accounting is expected to be discontinued in 2027. Also, Azimut has operated there since 2011. Still, something to weigh.

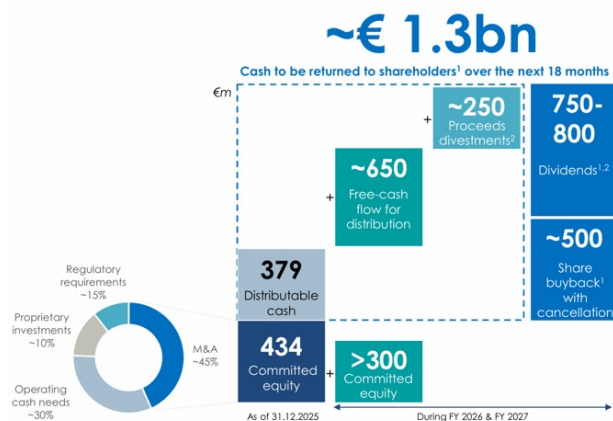
Because of the deal, guidance was upgraded to >€35bn of FY26 net inflows (€23bn from YKP, subject to closing by year-end, plus >€4bn organic in 2H), with the €550m net profit target confirmed.

Capital return and valuation

The plan: ~€1.3bn — roughly 25% of the market cap — returned over FY26–27. €352m of ordinary dividends and participating instruments already paid in May. The first €250m buyback tranche (6-month maturity, with share cancellation) starts early August; the second €250m follows. From 2027 the company moves to semi-annual dividends.

Targeting an optimal capital structure

Capital return will yield >25% of Azimut's current market cap in the next 18 months



So, management guides €550m of FY26 earnings. If we take out TNB (~€60m, annualising the €30m earned in 1H) and add back YKP (€65–75m pro-forma per the deal announcement, net of financing costs), and the pro-forma perimeter earns roughly €550–570m before any organic growth. Say €560m.

At ~10x that's €5.6bn. The €500m of buybacks cancel ~13–14m shares at current prices, taking the count to ~130m, so ~€43 per share by end-2027, plus roughly €4/share of cumulative dividends, against €36.58 today: 11% IRR over ~two years with a lot of it coming from cash repayments to shareholders. This is assigning ZERO value to TNB. But TNB will have to redistribute all its earnings which will form part of the deferred. Assuming €100m of deferred cash inflow in 2028, and a value of the 20% TNB stake at €400m, and assuming a 12x on the RemainCo, I get a fair value north of €55 per share (IRR 37% including dividends).

12x is still a decent discount vs Fineco, BG and Mediolanum.

Risks

TNB slips again. The framework agreement expires 20 December 2026. Another extension would look bad.

Governance/disclosure. The CONSOB episode wasn't pretty.

M&A appetite we've seen some lumpy deals but discipline on pricing has improved

Fee pressure

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

completion of TNB deal

Messages

Subject Thanks and good to read this writeup..
Entry 08/05/2026 06:16 PM
Member 2fly4wifi

I own AZM and am often confounded by the continual low valuation and poor street coverage. It is one of the great long-term compounders in the Italian market, and apparently number 1 in total return (16% compound) among current FTSE MIB members if your start date is its 2004 listing - a 22 yr record. The capital-light, vertically integrated, cash-generative model explains much of the success along with top quality people and high sticky management fees :) Future compounding now depends on YKP, TNB, international margin conversion and sensible capital allocation. I am glad finally we will see proper buybacks with share cancellation... in the past this has been disappointing but the dividend has always been solid. My model still shows mid-teens expected IRR without requiring a better peer multiple, while TNB success and international margin recovery provide a credible mid-20s return. A return in the 30s is possible, but it is an accelerated end-2027 bull case. I always thought Unicredit would make a play for them...

Subject Question
Entry 08/06/2026 08:52 AM
Member ahnuld

Thank you for the interesting writeup.

Sorry for my lack of familiarity with the Italian market, but is this roughly similar to SJP of Italy?

Are their advisors more akin to wealth managers for their clients, or are they selling azimuth funds to RIAs/wealth managers and more like salespeople?

Subject Re: Question
Entry 08/07/2026 12:03 PM
Member Bud_Spencer

Thanks ahnuld, If I remember correctly, SJP operates on the basis of a partnership model, where they work with "independent" financial advisors with SJP providing the platform, infrastructure, products, support and training to partners (i.e. technology, business consultancy, regulatory compliance, marketing support and even funding when one partner wants to acquire another partner).

Azimet's financial advisors are not perceived as "independent", they're "branded" Azimet. But they do act as wealth managers for their clients and sell their products to individuals (at high fees).

2fly, thanks for your comment. I thought the same about Unicredit. May be still an option ...